

companies charge over 1.0 percent to invest in exactly the same indexes as very low-cost funds. Let the buyer beware.

- 3. Low tax liability.** Index funds generally have very low turnover of securities compared to actively managed funds. Low turnover results in low capital gains distributions to taxable shareholders. This means low tax liability. In addition, ETFs have a special tax benefit in that the fund manager can rid the portfolio of low-cost stock by distributing it to a third party.

For more information about index funds and ETFs, including a detailed analysis of indexes and their construction, see my previous books, *All About Index Funds*, 2nd edition (McGraw-Hill, 2007) and *The ETF Book*, 2nd edition (John Wiley, 2009). The marketplace for index funds and ETFs is growing rapidly. New funds are being added weekly as fund companies expand into new and exciting markets. Check for current news on index funds by going to the www.Morningstar.com Web site. Two good sources for current information on new ETFs are www.IndexUniverse.com and www.ETFguide.com.

HIRING A LOW-FEE ADVISOR

The process of asset allocation can be difficult for some investors and an unwelcome chore for others. The design, implementation, monitoring, rebalancing, tax management, and occasional reassessment of strategy can take a lot of effort, and that is not how many people want to spend their free time.

If an investor would rather not manage his or her own portfolio, or cannot manage the account for health or legal reasons, one solution is to hire a professional investment manager. A competent manager can help you formulate an asset allocation, implement the plan, monitor the results, rebalance when needed, and modify the asset allocation when your needs dictate that it is appropriate to do so.

There are several benefits to employing the services of a lowfee investment manager if you believe you should have one. Here is a partial list of the benefits:

- 1. Planning and implementation.** Managers can help clients understand their cash-flow needs and then design, implement, and maintain a